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Cross-Asset Markets

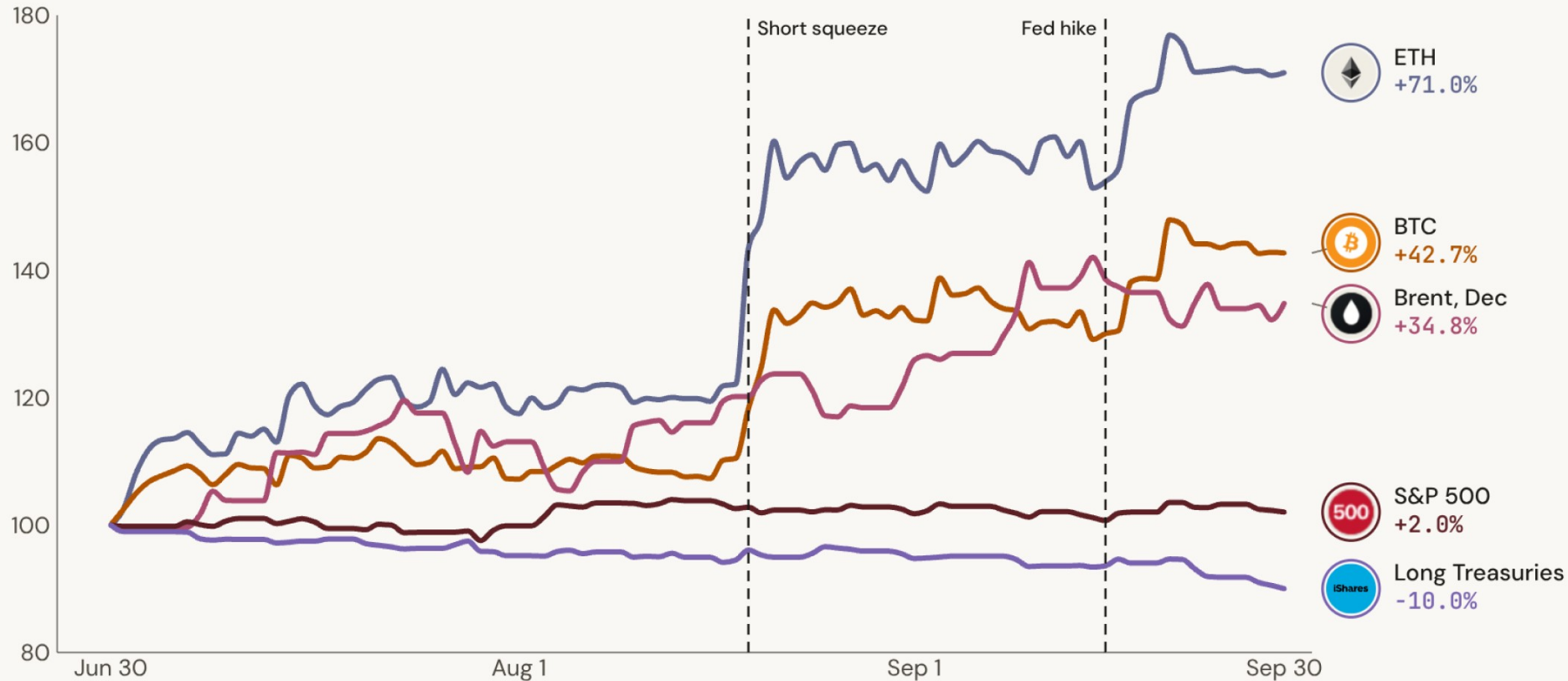
Crypto, rates, and cross-asset market pricing

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Crypto Outran the First Hike Since 2023

The Fed hiked on Sep 16 and the 10-year closed at 5.29%, its highest close since 2002. ETH still gained **71.0%**.

Crypto led every major market in the quarter the Fed hiked



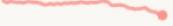
BTC gained 10.5% in the seven weeks to Aug 18, then 21.1% from Aug 19 to Aug 21 as shorts were forced out. The Fed raised its range to 3.75% to 4.00% on Sep 16.

Leadership changed hands every month of the quarter

The 10-year yield climbed from 4.75% to 5.29% in September.

Month	Leader	Its move
July US strikes on Iran, Jul 20	Oil	WTI +21.8%
August Short squeeze, Aug 19	Crypto and gold	BTC +25.0%; gold +9.1%
September Meta launched Muse, Sep 8	Meta	+26.7%

Brent and long Treasuries moved 2.2σ , the most of 12

	Change	Move in σ	52-week range	From 52-week high	Path
 ETH	+70.98%	+1.7 σ		-42.75%	
 BTC	+42.68%	+1.5 σ		-33.02%	
 Brent, Dec	+34.77%	+2.2 σ		-5.11%	
 WTI, Dec	+29.36%	+1.9 σ		-7.42%	
 Copper, Dec	+4.48%	+0.2 σ		-3.88%	
 Gold, Dec	+2.15%	+0.2 σ		-24.00%	
 S&P 500	+2.03%	+0.3 σ		-1.89%	
 Nasdaq 100	+0.44%	0.0 σ		-1.05%	
 Dollar index	+0.26%	+0.1 σ		-0.16%	
 High-yield bonds	-3.45%	-1.6 σ		-5.01%	
 Small caps	-7.51%	-0.8 σ		-8.92%	
 Long Treasuries	-10.00%	-2.2 σ		-15.51%	

A move in σ compares the quarter's change with each market's own volatility over the prior year. A quiet market's move counts for more.

Macro

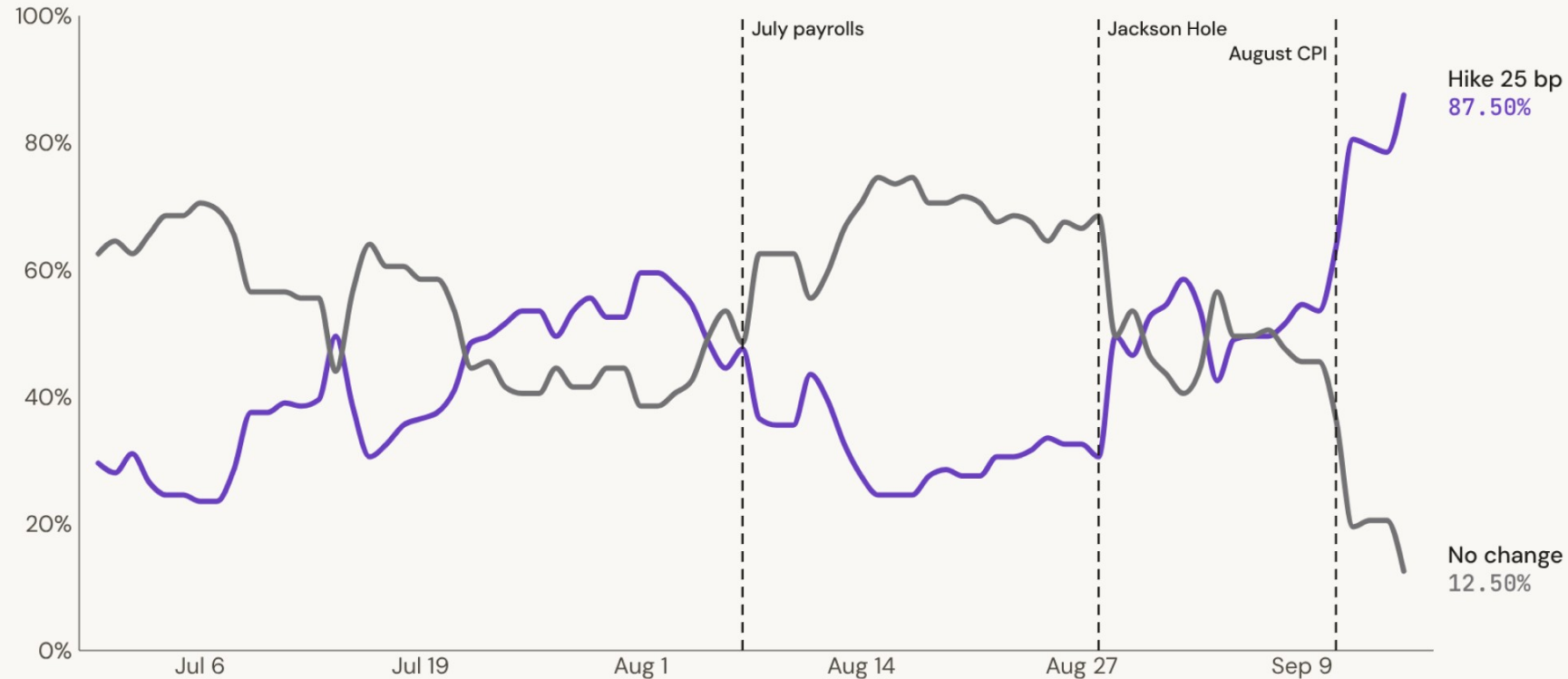
Crypto

Equities

Commodities

How did a 29.5% chance become a hike?

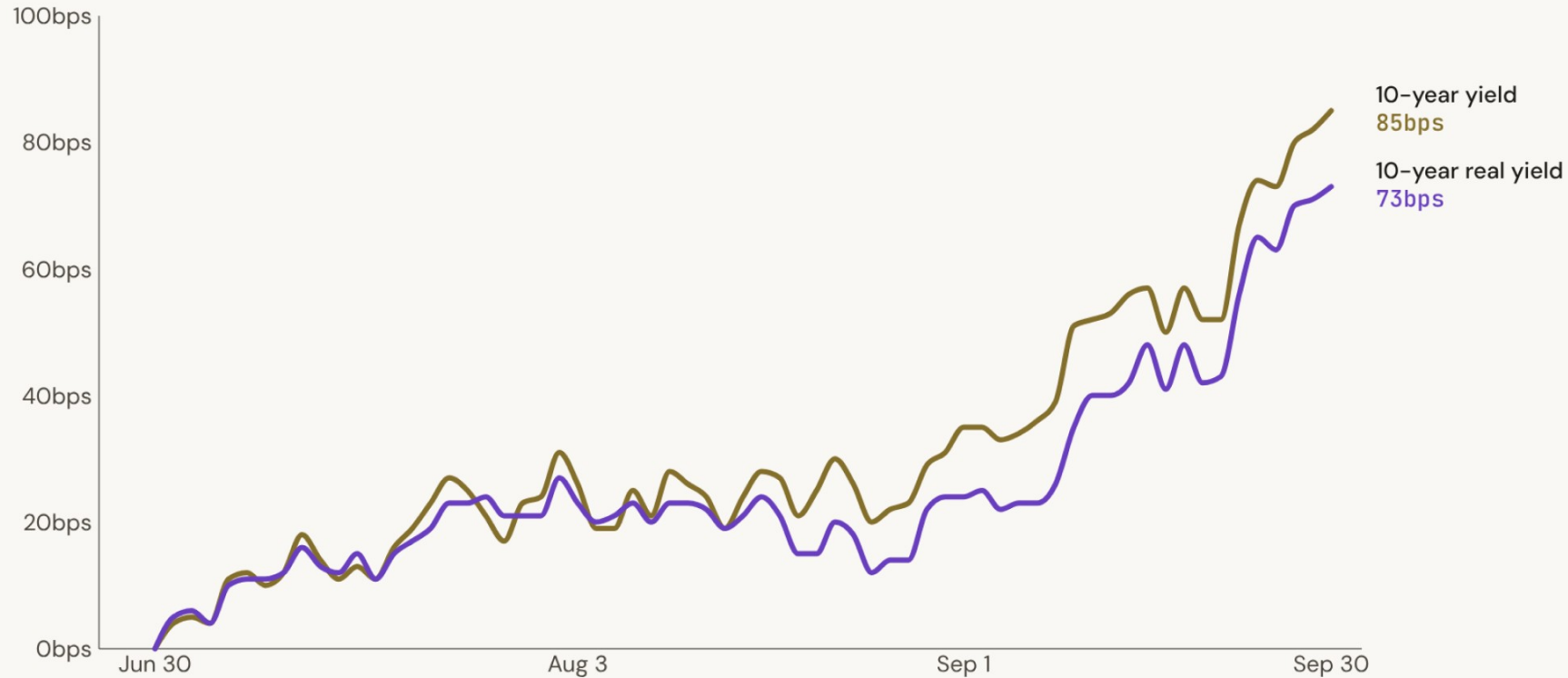
Jackson Hole and August CPI took the hike odds to 87.5%



A hike traded at 29.5% on Jun 30, and no change led on 49 of 78 days.

At Jackson Hole on Aug 28, Chair Kevin Warsh called 2% "a firm, fixed target."

Real yields made up 73 of the 10-year's 85 bp rise



Breakeven inflation, the rate of inflation the two yields imply, moved only 12 bp, from 2.24% to 2.36%.

The real yield closed at 2.93%, its highest close since November 2008.

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Who paid for crypto's rally?

Spot funds brought back \$9.4B after losing \$5.6B in Q2

Relative to size, ETH funds bought about three times as much as BTC funds, and ETH rose 19.8% against BTC.

US spot funds		Q3 net flow
	BTC funds 0.5% of BTC's value on Jul 1	+\$6.4B
	ETH funds 1.6% of ETH's value on Jul 1	+\$3.0B
BTC and ETH funds They lost \$5.6B in Q2		+\$9.4B

Buyers paid in cash while borrowed positions shrank

On Binance, BTC perpetual open interest fell 12.1% in coin terms, and funding sat below its 0.01% default rate on 81 of 92 days.



Among Oct 1's top-100 tokens, the median beat BTC in Q3

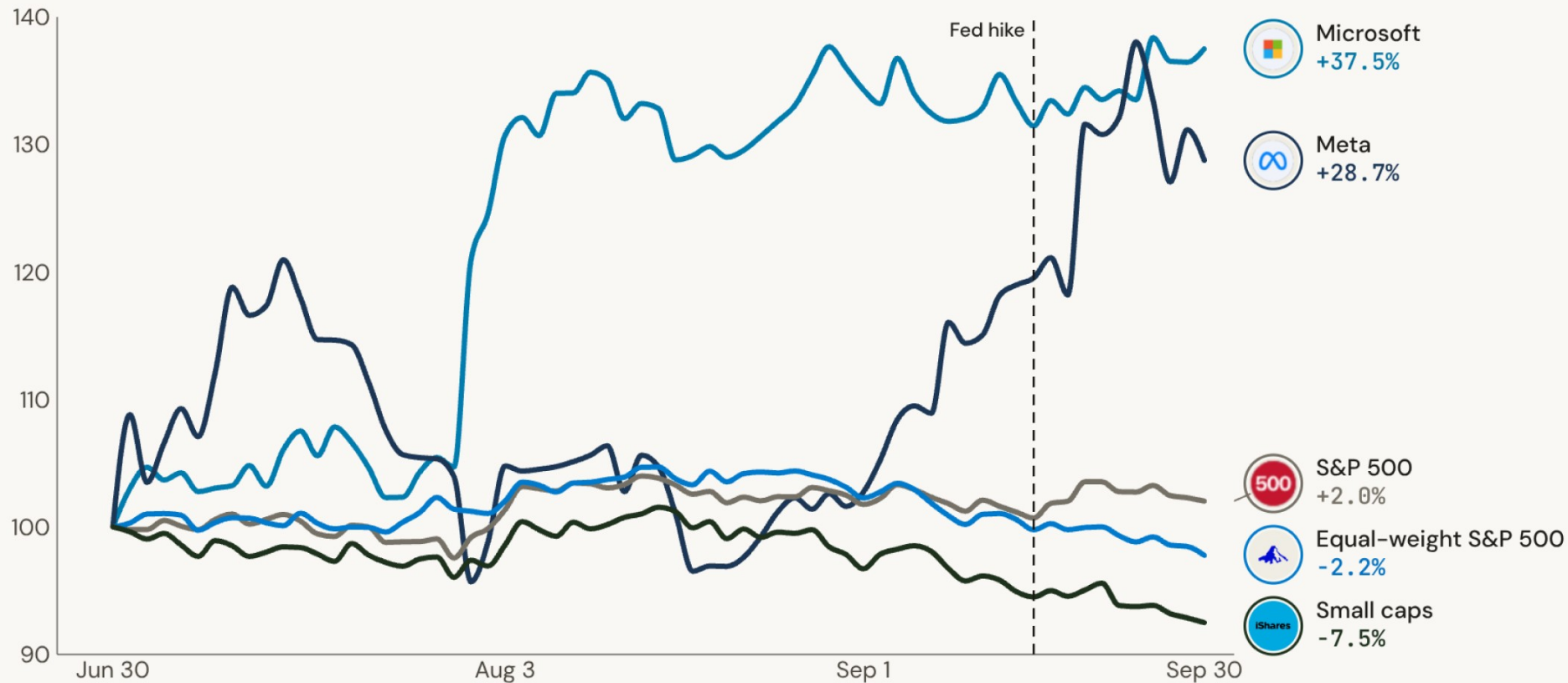
Quant, Pump.fun, Ethena, Zcash, and Uniswap each gained more than 200%.

Token	Q3 return
 ETH Its best quarter since early 2021	+71.0%
Median token 71 of 79 with a full quarter rose	+49.7%
 BTC Its best quarter since late 2024	+42.7%
 HYPE In step with BTC	+40.1%

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Did the index speak for its median member?

Microsoft and Meta rose while the median member fell



Microsoft rose 15.5% the day after it reported an 84% jump in its commercial backlog. Meta gained 26.7% in September after it launched Muse.

The S&P 500 rose 2.0%; 189 of 502 members rose, and the median member lost 4.4%.

Homebuilders and utilities fell most as the 10-year rose 85 bp

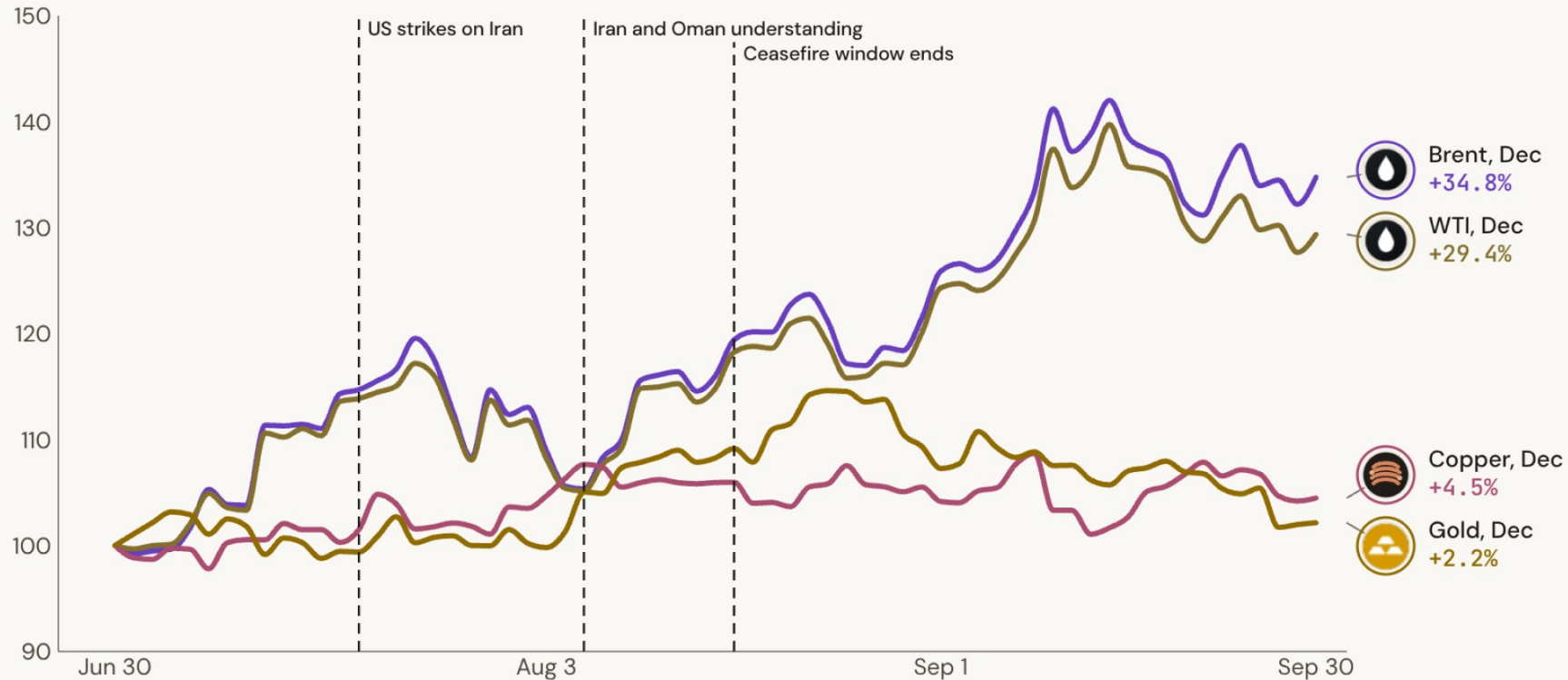
	Change	Move in σ	52-week range	From 52-week high	Path
Energy	+15.80%	+1.4 σ		-6.72%	
Health care	+6.15%	+0.8 σ		-4.13%	
Communication	+3.58%	+0.5 σ		-7.59%	
Technology	+2.75%	+0.2 σ		-1.24%	
Financials	-0.39%	-0.1 σ		-8.81%	
Staples	-2.97%	-0.5 σ		-10.45%	
Materials	-4.19%	-0.5 σ		-9.26%	
Real estate	-7.09%	-1.1 σ		-11.08%	
Discretionary	-7.20%	-0.8 σ		-12.59%	
Industrials	-9.85%	-1.3 σ		-10.47%	
Semiconductors	-11.26%	-0.6 σ		-13.19%	
Utilities	-13.01%	-1.9 σ		-17.37%	
Homebuilders	-16.71%	-1.2 σ		-23.38%	

Long Treasuries fell 10.0% over the same quarter.

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Why did oil keep climbing?

Brent rose a third as the Strait of Hormuz stayed contested



One tanker crossed the strait on Jul 23. Brent's gain shrank to 5.3% after the Iran and Oman understanding on Aug 5, then resumed after Aug 17.

On Sep 30, November Brent settled at \$104, \$5.50 above December.

Fresh buyers lifted crypto and two tech giants; rate-sensitive assets fell

Spot funds took in \$9.4B, and Microsoft and Meta rose on a backlog jump and a new AI agent. Long Treasuries fell 10.0%, utilities 13.0%, and homebuilders 16.7%.

Five decisions for an allocator

Follow Fed odds as data arrives: a hike priced at 29.5% on Jun 30 came on Sep 16.

Split the 10-year into its parts: real yields made up 73 of its 85 bp rise.

Weigh spot-fund flows against leverage: \$9.4B came in while Binance BTC open interest fell 12.1%.

Check the median against the index: the S&P 500 rose 2.0% while its median member lost 4.4%.

Track the Brent spread: on Sep 30, November settled \$5.50 above December.

Method and sources

Method

Window: the Jun 30 close to the Sep 30 close, 2026.

Crypto uses UTC daily closes. Futures are December 2026 contracts held with no roll; the monthly leaders use front-month contracts.

Member counts and crypto returns are the Oct 1, 2026 snapshot.

Sources

Alea Flow Brief: Crypto Outran the First Hike Since 2023

Federal Reserve: FOMC statements, Jul 29 and Sep 16, 2026

Polymarket: Fed decision in September

US Treasury and FRED: nominal and real yields

BLS: payrolls and consumer prices

Yahoo Finance, CoinGecko, and State Street: prices

DefiLlama: US spot crypto fund flows

Coinalyze: Binance open interest and funding

Microsoft and Meta: company releases



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